	Value	Blend	Growth
Large	74	78	89
Mid	184	214	180
Small	250	279	255
Micro	3,400+		

Source: Morningstar, December 31, 2009

Source: Morningstar, December 31, 2009

ANALYZING FACTOR PERFORMANCE

Factors are broad portfolio characteristics that make one portfolio different from another. Two major factors that drive a portfolio's risk and return are its size factor and style factor. The size factor compares the average weighted market value of the stocks in one portfolio to the average weighted market value of stocks in another portfolio or an index. The style factor compares the weighting of value or growth stocks in one portfolio to another portfolio or an index.

Performance by Size

The weighted-average market value of the stocks in an index has a profound effect on that index's long-term performance. In the late 1970s, two academic researchers, Rolf Banz and Marc Reinganum, independently found that microcap stocks had a long-term return close to 5 percent per year higher than large-cap stocks.[1] This made sense because the stocks of tiny, less liquid companies had higher price volatility than larger company stocks and thus should be expected to generate a higher return over time.

Interestingly, using new financial models of risk and return developed by William Sharpe, researchers Banz and Reinganum found that microcap stocks had higher-than-expected returns even after accounting for the extra volatility. Something else was going on in the microcap marketplace that was not being picked up by the return volatility numbers. The extra return is likely payment for liquidity risk. Investors in microcaps should earn